

SPLIT PURCHASE DETECTION SOP

Standard Operating Procedure | SOP No. SOP-SPD-013 | Version 1.0

SOP Number:	SOP-SPD-013
Version:	1.0
Effective Date:	February 13, 2023
Process Owner:	Wanda Davis (EMP-2505) — Manager
Applicable System(s):	Audit Assistant Platform / ERP / Finance System

1. PURPOSE

This SOP defines the standardised process for split purchase detection to ensure consistency, control effectiveness, and audit traceability across all business units.

2. PROCESS FLOW

- 1
- Step 1: System monitors purchase orders from the same employee_id and vendor_id
- 2
- Step 2: Orders submitted within a short window below approval threshold are flagged
- 3
- Step 3: Procurement compliance analyst reviews flagged pattern for legitimacy
- 4
- Step 4: Confirmed split purchases are logged as FRAUD_PATTERN findings
- 5
- Step 5: Employee and approver are referred for additional training or action

3. ROLES AND RESPONSIBILITIES

Role	Responsibility
AP Specialist	Performs periodic reconciliation and reporting
Internal Auditor	Monitors exceptions and escalates as required
Procurement Analyst	Monitors exceptions and escalates as required
Compliance Officer	Monitors exceptions and escalates as required

4. CONTROLS

This process incorporates the following key controls: (i) system-enforced validation against the Delegation of Authority Policy; (ii) mandatory documentation attachment prior to approval; (iii) periodic exception reporting to Internal Audit; and (iv) quarterly process effectiveness review.

5. EXCEPTION HANDLING

Any deviation from this SOP must be documented with justification and approved by Manager or delegate. Exceptions are logged in the exception register and reviewed monthly by the Risk Committee. Repeated exceptions of the same type will trigger a process redesign review.

6. RELATED DOCUMENTS

This SOP should be read in conjunction with the Delegation of Authority Policy, the Internal Audit Charter, and the relevant functional policy governing this process area.